

YOU ARE **CASH FLOW** CONSTRAINED

Everything below is calculated on your answers. It's a guide rather than a custom diagnostic, so read the report as a rough shape of what your current challenges are and what solutions may look like.

It names your biggest single constraint. There is likely more, and there may be other things wrong, there always are. They're not listed in here because the order you fix things in matters. Fix the constraints and risks in your business, then come back and get an updated report.

We do not use any AI in this tool, and none of your data is sent or stored offsite.

01, THE CONSTRAINT

WHAT IS CAPPING THE BUSINESS **YOU ARE CASH FLOW CONSTRAINED**

You're profitable on paper and short of cash in practice. The work is sold, the money hasn't landed, and there's nothing sitting there to fund the next job. You get paid with nothing upfront and the rest on terms, the balance lands beyond 60 days and you're owed more than a month of revenue past its due date. You've been delaying payments every month and you're holding under a fortnight of cover.

That's a timing problem rather than a rate problem. Every job you win right now costs you money before it pays you, which is why winning more of them is currently the worst move available to you.

02, HOW TO FIX IT

The job is to shorten the gap between doing the work and getting paid for it. Nothing else moves until that does.

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- 1 You take nothing upfront, which is this whole problem in one answer. Change that before anything else on this list.
 - 2 Take a deposit on every job. Fifty percent thirty days out and the balance the week before, so the money is in before your costs go out.
 - 3 Line the deposit up to land before your cost of goods does. On jobs where the number moves on the day, charge the balance afterwards and refund the difference.
 - 4 Invoice within twenty four hours of the job finishing, rather than at the end of the month.
 - 5 Collect what's already overdue before you chase anything new. It's the cheapest money available to you.
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03, YOUR RISKS, AND WHAT TO DO ABOUT THEM

These are the things that would hurt most if they went wrong. They sit behind the constraint above in the order, not in front of it.

YOU HAVE A **NO CONTRACTS** RISK

Your work is committed by a handshake and an email. Revenue that can be cancelled in a phone call isn't revenue you can plan against, hire against or borrow against.

- 1 Put a written agreement behind every piece of work, with terms, scope and a notice period.
- 2 Start with your largest customers, because that's where the exposure actually sits.

YOU HAVE A **KEY CLIENT** RISK

One customer carries between 30 and 50% of your revenue. That customer can leave, go quiet, or get bought by someone who already has their own suppliers, and none of those are things you get a say in.

- 1 Set a ceiling, say twenty percent of revenue from any one customer, and treat crossing it as the trigger to go and win two more.
- 2 Get them onto a term agreement with a notice period, so a decision to leave gives you time to react.

YOU HAVE A **NO CASH BUFFER** RISK

You're holding under a fortnight of cover. Every business runs into a bad month. Without a buffer, a bad month turns into a decision about who you can't pay.

- 1 Build to one month of fixed costs in a separate account, then three.
- 2 Move a fixed percentage of every payment across automatically, so it isn't a decision you make each time.

DON'T DO THIS YET

Until the cash timing is fixed, leave these alone.

- × Don't chase bigger jobs. Bigger jobs mean bigger upfront costs and longer payment cycles.
- × Don't hire. Wages are the least flexible cost you can add to a cash problem.
- × Don't buy equipment outright. Finance it, even if the interest annoys you.
- × Don't discount to get paid faster. That's borrowing at a rate you'd never accept from a bank.
- × Don't increase marketing spend. More demand you can't fund makes the hole deeper.

That's the diagnosis. One constraint, the risks sitting around it, and the things to leave alone while you fix it.

Work the constraint and check back in ninety days. That's long enough for it to move and short enough that you'll still remember what you changed.

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